US Agencies Snapshot

September 14, 2026

Everyone Gets a 5.00%

The obvious update to our market is coupons continuing to move higher alongside the broader sell-off. The 5.00% coupon is now achievable across most structures in the five-year and three-year parts of the curve, and even on the shortest lockout structures in the two-year sector. What felt far out of reach just a few months ago is now available across a much broader range of structures. For accounts with cash to put to work, these levels are creating a very appealing entry point.

5.00% Coupons



Source: InspereX 9/14/2026

A Little Extra from Spreads

Everyone has been watching the fixed income sell-off, so the benefit from higher Treasury yields is obvious. The more pleasant surprise has been on the spread side, where callable agency spreads have remained wider as well. So, investors are getting a lot of help from higher underlying yields as well as a little extra help from spreads. The five-year callable graph below illustrates that nicely.

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InspereX

5YR Callable Spreads – YTD



Source: InspereX 9/14/2026

The main drivers of the spread widening have been the curve flattening, higher implied volatility, and wider swap spreads. In many respects, the move wider has been relatively controlled given the pace of the sell-off in rates. That has largely been attributed to the more muted response in implied volatility, especially when compared with the repricing we saw earlier in the year illustrated below in the MOVE fixed income volatility index. With a relatively new FOMC on deck that has produced large market moves around nearly all of its public appearances, there is certainly room for a surprise at this week's meeting. That said, the bond market has already done much of the work for the Fed, pricing in a hike this week and a path of roughly three to four total hikes over the next year. If the FOMC delivers something close to that outcome, both through this week's decision and the updated dot plot, the market could have less reason to continue repricing aggressively. That could allow rates to stabilize, implied volatility to move lower, and callable spreads to tighten as a result.

MOVE Index

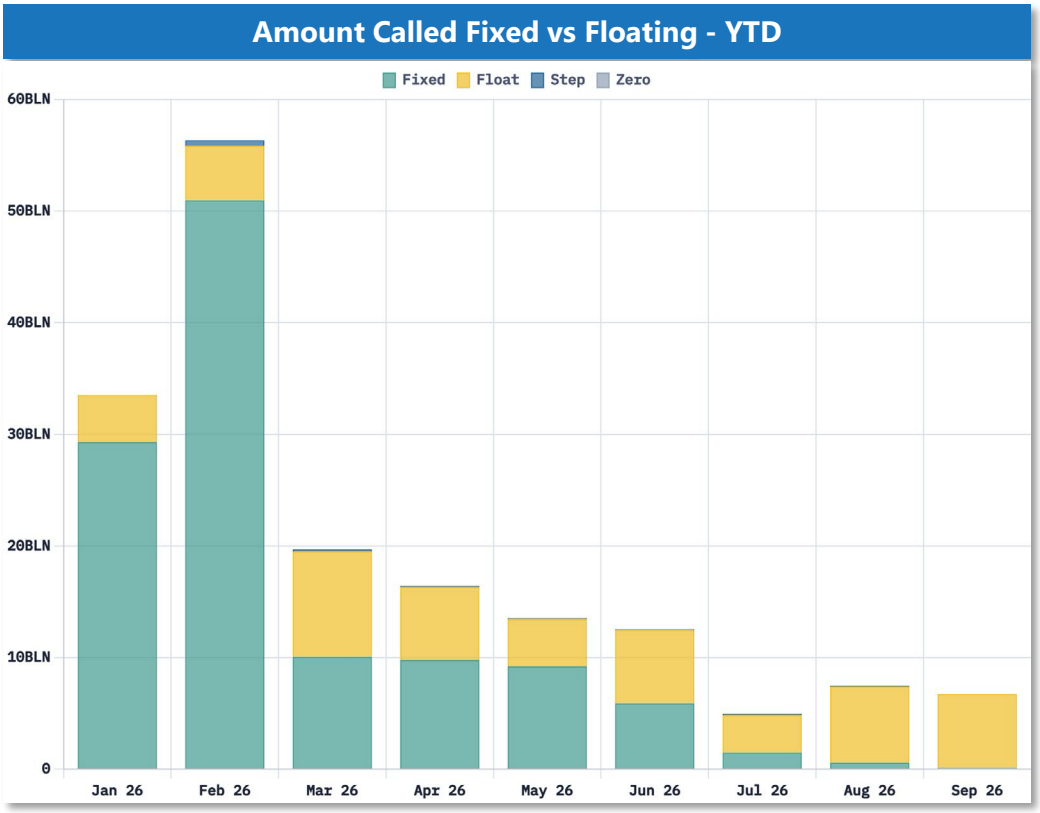


Source: InspereX 9/14/2026

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The Sad Song Plays On

Callable redemptions remain historically low following the 100+ bp move higher in rates over the past several months. What little is being called is also predominantly floating rate rather than fixed. That trend is likely to persist through the remainder of the year, especially with rates still biased higher amid a confluence of factors. The practical takeaway is that very little cash is being recycled back into the callable market, and that is unlikely to change meaningfully in the near term.



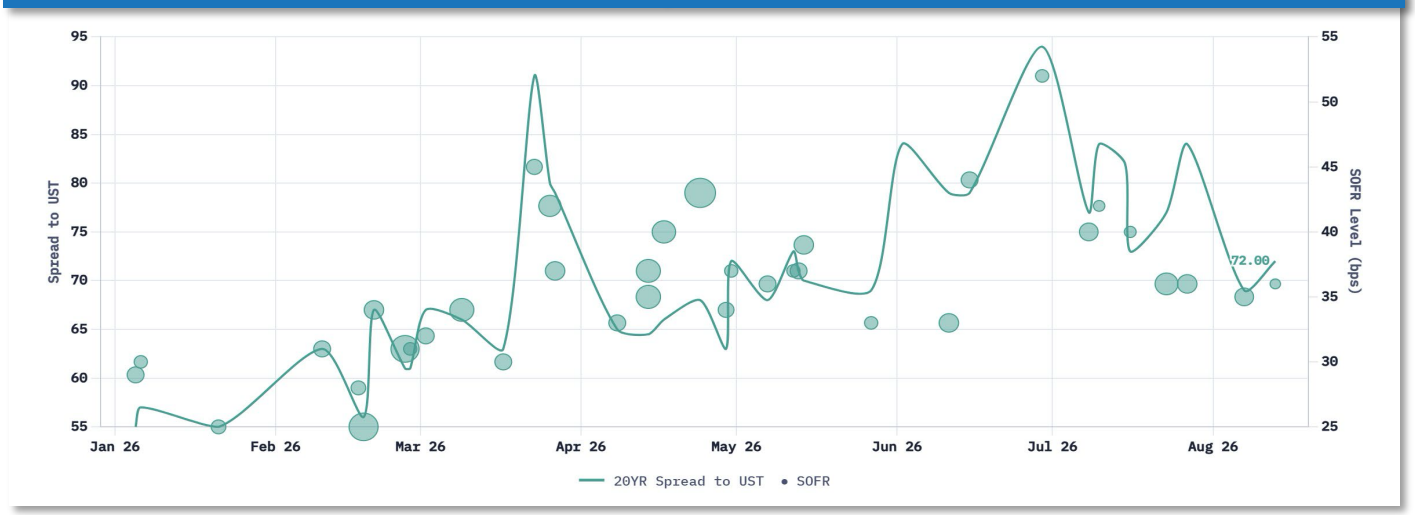
Source: InspereX 9/14/2026

Business as Usual in Auction Space

In times of stress, one of the easiest places to gauge sentiment is through callable auctions, where dealer discretion on bidding is a key driver of clearing levels. While there are certainly structures that have widened or failed more recently, the on-the-run structures that the GSE market primarily focuses on have continued to trade in an orderly fashion. That is likely due to manageable supply coming to market, along with decent demand for coupons north of 6.00% further out the curve. It feels like the limited amount of supply is roughly in rhythm with the limited amount of demand. The graph below shows both nominal spread to USTs and dynamic spread to SOFR. While the data is a bit noisy, likely due to auction nuances between YEL and YTM bonds, the broader theme is that spreads have remained relatively rangebound despite all the chaos taking place in other markets.

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20/1YR Auction Spreads to UST and SOFR



Source: InspereX 9/14/2026

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